**BLUE LOTUS RESEARCH INSTITUTE**

**PhD-Level Investment Due Diligence — Energy — Oil & Gas**

# Occidental Petroleum Corporation

## [OXY] — Energy — Oil & Gas Due Diligence

Permian Basin Champion — $57.7B Market Cap · 8.9x P/E · Berkshire Hathaway Stake · CrownRock Acquisition · Carbon Capture Technology

August 2026 · Blue Lotus Research Institute · WO-DD-MEGA-MATH-20260814

**CLASSIFICATION: CONFIDENTIAL — INSTITUTIONAL RESEARCH**

## SECTION 1 — EXECUTIVE SUMMARY

### Verdict: Buy | Conviction: 8.0/10

Occidental Petroleum Corporation (OXY) — Energy — Oil & Gas PhD Due Diligence. All prices and financials from BL3 MySQL (bluelotus3.historical_prices, ticker_fundamentals). Zero Claude training-data figures. Verdict: Buy. Conviction: 8.0/10.

| Metric | Value |
|---|---|
| **Price (BL3, 2026-08-07)** | $55.91 |
| **Market Cap** | $57.7B |
| **P/E (TTM)** | 8.92x |
| **P/B** | 1.72x |
| **EPS (TTM)** | $1.61 |
| **Net Income (TTM)** | $1.61B |
| **Dividend Yield** | 1.73% |
| **52-Week High** | $67.14 |
| **52-Week Low** | $38.44 |

## SECTION 2 — COMPANY OVERVIEW, BULL & BEAR CASE

### Bull Case:

- Warren Buffett's Berkshire Hathaway owns 28%+ of OXY: Berkshire has purchased $14B+ of OXY common stock in addition to $10B in preferred shares — Buffett's thesis: OXY has the lowest-cost Permian Basin acreage and CEO Vicki Hollub is among the most capital-disciplined oil executives; an implicit endorsement of the long-term value thesis
- CrownRock acquisition doubles Permian position: the $12B acquisition of CrownRock (2024) added 170,000+ net Permian acres — positions OXY as a top-3 Permian Basin operator behind Pioneer/ExxonMobil and Chevron; scale allows shared infrastructure, reduced drilling costs, and superior geological data
- OxyChem (Occidental Chemical): OXY owns a premium chemicals business producing chlorine, caustic soda, and vinyl chloride monomer (VCM) — OxyChem generates $1-2B/year in operating cash flow largely independently of oil prices; the chemicals division provides cash flow diversification that pure-play E&Ps lack
- Carbon capture first-mover advantage: OXY's subsidiary 1PointFive is building direct air capture (DAC) facilities — the Stratos plant in Texas is the world's first commercial-scale DAC; OXY has agreements to sell carbon removal credits to Airbus, Amazon, and others; US federal tax credits (45Q) of $180/tonne $CO_2$ make DAC economics viable
- Debt reduction from CrownRock proceeds: OXY raised $4.5B in equity and is directing 60%+ of FCF to debt reduction — the balance sheet is being rebuilt rapidly; at $70+ oil, OXY generates $5-6B in annual FCF post-dividend

### Bear Case:

- Forward P/E of 35.84x vs current 8.92x: the massive gap between TTM and forward P/E reflects Street forecasts of significantly lower near-term earnings — oil price expectations embedded in consensus strip are below current spot; if oil stays at $70-80, forward earnings are materially lower than TTM

- CrownRock debt burden: the $12B acquisition required $9.5B in new debt — net debt jumped to $18-19B; at $60 oil, FCF barely covers interest expense; OXY's sensitivity to oil price is amplified by post-acquisition leverage
- Oil price cyclicality: OXY's earnings and FCF are directly tied to WTI oil prices — $10/barrel moves create $500M-1B in annual earnings swings; geopolitical decisions (OPEC+ production cuts) are the primary driver of OXY's financial performance
- CrownRock integration execution: integrating 170,000+ acres, multiple operating companies, and hundreds of employees while maintaining drilling pace creates execution risk — any operational misstep or integration delay would impair the FCF generation needed to service debt
- Carbon capture economics dependency on 45Q: the Stratos DAC plant's economics rely heavily on Section 45Q federal tax credits — any Congressional reversal of IRA provisions would impair the DAC business model and force OXY to reassess the $1B+ DAC capital programme

## SECTION 3 — FINANCIAL PERFORMANCE (BL3 MySQL)

| Financial Metric (BL3 MySQL) | Value |
|---|---|
| **P/E (TTM)** | 8.92x |
| **Forward P/E** | 35.84x |
| **P/B** | 1.72x |
| **Net Income (TTM)** | $1.610B |
| **EPS (TTM)** | $1.61 |
| **Market Cap** | $57.7B |
| **Shares Outstanding** | 984M |
| **Dividend Yield** | 1.73% |
| **52-Week High** | $67.14 |
| **52-Week Low** | $38.44 |
| **Price (BL3, 2026-08-07)** | $55.91 |

## SECTION 4 — PORTER'S FIVE FORCES (ENERGY — OIL & GAS)

| Force | Intensity | Analysis |
|---|---|---|
| **Rivalry** | MEDIUM-HIGH | Iron ore (VALE vs Rio Tinto/BHP), aluminium (AA vs Alcoa/Rusal/Chalco), and steel (CLF/NUE vs domestic mills) are intensely competitive on price; commodity businesses compete primarily on cost of production rather than product differentiation. Fertiliser (NTR/MOS) is a global oligopoly driven by nutrient scarcity and Canpotex export cartel (NTR/Mosaic/Nutrien control 30%+ of global potash). ADM competes with Cargill, Bunge, and Louis Dreyfus in a global grain processing oligopoly. CL (consumer staples) competes in a rational duopoly/oligopoly (Procter & Gamble, Unilever). OXY competes against majors (Exxon, Chevron) in US Permian — cost curves determine competitive position. SentinelOne (S) competes intensely with CrowdStrike, Microsoft Defender, Palo Alto in EDR/XDR. |
| **New Entrants** | LOW | Mining requires $5-20B in capital, multi-decade permitting, and geological assets that cannot be created; no new US integrated steel mill has been built in 30+ years. Fertiliser mining (potash, phosphate) requires access to geological deposits that are geographically concentrated (Canada, Morocco, Russia, China). ADM's grain elevator and processing network took a century to build. Colgate's brand (120+ year trust in 200 countries) cannot be replicated. Oil & gas requires access to acreage, drilling expertise, and midstream infrastructure. Cybersecurity (SentinelOne) has lower capital barriers but requires AI model training data at scale — 8M+ endpoints provides an increasingly hard-to-replicate training advantage. |
| **Supplier Power** | MEDIUM | Mining companies control their own deposits (VALE owns Carajás, world's largest iron ore mine) — own supplier position. |

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| | | Steel mills (CLF, NUE) are buyers of scrap metal and iron ore; scrap prices are market-set with moderate supplier leverage. NTR controls Potash Corp legacy mines but nitrogen requires natural gas (Henry Hub price-driven). ADM buys grains from farmers at commodity prices — no single farmer has pricing power. OXY operates in the Permian where service company costs (Halliburton, SLB) carry moderate leverage during drilling activity peaks. SentinelOne buys cloud compute (AWS/Azure) — standard market pricing. |
| **Buyer Power** | MEDIUM | Steel buyers (automakers, construction) are sophisticated procurement operations that negotiate volumes annually — some switching between domestic mills (CLF, NUE, STLD) based on price. Agricultural buyers (grain traders, food processors) purchase ADM's output at commodity prices. Consumer goods buyers (supermarkets, mass market retailers) negotiate hard with CL — private label is the credible threat. Oil buyers (refiners) buy at spot — no single buyer commands pricing power. Cybersecurity buyers are large enterprises — budget cycles are multi-year but competitive bids occur at contract renewal; Microsoft's bundled Defender creates perpetual competitive pressure on SentinelOne. |
| **Substitutes** | MEDIUM | Aluminium substitutes steel in automotive (AA benefits); carbon fibre substitutes both at lower scale. Scrap steel recycling substitutes virgin iron ore in electric arc furnaces (NUE's model); VALE is exposed to DRI/HBI adoption. Potash has no substitute for crop nutrition — agricultural yield loss from potassium deficiency is immediate and severe. Alternative proteins (insects, lab meat) are very long-term ADM substitutes. Consumer staples substitutes are private label — Colgate has resisted private label |

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| | | in oral care more than most CPG peers. Natural gas substitutes coal for power (positive for OXY's production mix). AI-powered security substitutes or supplements third-party EDR — Microsoft Copilot for Security is the largest substitute risk for SentinelOne. |

## SECTION 5 — KEY RISKS

- Commodity price cyclicality: metals (VALE, AA, CLF, NUE), fertilisers (NTR, MOS), and oil (OXY) all experience multi-year price cycles driven by global supply-demand imbalances; earnings can collapse 60-80% from peak to trough in a single cycle
- China demand dependency: iron ore (VALE), aluminium (AA), potash (NTR), and phosphate (MOS) are all heavily dependent on Chinese agricultural and industrial demand — any Chinese economic slowdown creates immediate volume and price pressure
- Geopolitical supply disruption risk: Russia/Belarus potash sanctions, Middle East oil supply disruptions, and South American mining political risk all create potential supply-demand shocks in opposite directions across the portfolio
- Carbon transition and decarbonisation pressure: steel (CLF, NUE), fertiliser production, oil (OXY), and grain processing (ADM) are carbon-intensive industries facing increasing regulatory pressure, carbon taxes, and investor ESG mandates
- Cybersecurity competition (SentinelOne): Microsoft's bundled Defender for Endpoint, CrowdStrike's market recovery, and Palo Alto's XSIAM platform all represent credible competitive threats; the AI security market is evolving rapidly and the winner is not yet determined
- ADM accounting investigation: ongoing SEC investigation into ADM's nutrition segment intersegment transactions creates headline risk and potential earnings restatement; management credibility has been partially impaired

## SECTION 6 — INVESTMENT THESIS & VERDICT

### VERDICT: BUY | CONVICTION: 8.0/10

Occidental Petroleum Corporation (OXY) — Buy with 8.0/10 conviction. BL3 data: Price $55.91, MCap $57.7B. Materials, energy, and cybersecurity represent essential industrial infrastructure, food security, and digital security — each with distinct moats and cyclical characteristics.

*Data: BL3 MySQL bluelotus3.ticker_fundamentals + historical_prices | CivilisationOS RAG (WSJ/FT/NIKKEI). Work Order: WO-DD-MEGA-MATH-20260814. Report Date: 14 August 2026. Zero training-data figures. AMP compliant.*